AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies.

B124: Fundamentals of Accounting

Spring Semester 2024-2025

Mid Term Assessment – Version C-

Date: 9-Apri;l-2025

AOU EGYPT

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

ake **FIVE (5)** minutes to read all instructions carefully before attempting to write.

lobile phones must be in "SWITCHED **OFF"** mode throughout the examination.

ıis is a **CLOSED** book examination. NO documents of any kind are allowed.

ɔu **MUST** answer the questions using only the answer booklets provided

ɔu **MUST** return the examination paper together with your answer booklets.

› **NOT** write your answers in pencil except graphs/sketches

ıdents are **NOT** allowed to use any type of dictionary or mobile phones during the exa

ıdents are allowed to use ***non-programmable*** calculators only (if needed).

CamScanner

Question 1 (31 Marks)

Ahmad practices medicine under the business title Ahmad, M.D. During July 2022, the medical practice completed the following transactions:

Jul. 1	Ahmad invests $80,000 cash along with equipment for the practice valued at $26,000 in the company.
5	Paid monthly rent $3,500 and electricity bill $1,500.
10	Purchased land for $26,000 and building for $14,000 paying $15,000 cash and the remaining amount will be paid after 10 days.
19	Borrowed $10,000 from the bank for business use.
22	Paid the amount due to creditors
28	Revenues earned during the month included $6,000 cash and $6,000 on account.
30	Received $2,000 from customers in transaction dated Jul28
31	Ahmad paid $7,000 tuition fees of his son from the medical practice bank account.

Required:

(1) Make the required journal entries without a journal narrative. **(21 Marks)**

(2) Post July transactions to Cash account, and Accounts Receivable, and calculate its balance at the end of July. **(10 Marks)**

AOU EGYPT

CamScanner

Question 2 (30 Mark)

The following balances appears on Nour' Training Center Trial balance at Dec.31, 2023:

Cash 46,000 - Accounts Receivable 46,000 - Supplies 12,000 - Building 330,000 - Trucks 80,000 - Land 150,000 - Accounts Payable 280,000 - Notes Payable (Due in 18 months) 140,000 - Drawings 8,000 - Capital 292,000 - Service Revenues 120,000- Supplies expense 16,000 - Advertising expense 100,000 - Utilities expense 24,000 Insurance expense 30,000 - Interest revenues 10,000

Required:

A. Prepare Income statement for the year ended December, 31, 2023. (11 Marks)

Prepare Classified Balance Sheet as at 31, Dec.2023. (19 Marks)

Question 3 (14 Marks)

A- Match the following terms and definitions.**(6 Marks)**

a. Accounts receivable

b. Creditor

c. Accounts payable

d. Note payable

_____ (1) Amounts due from customers

_____ (2) Amounts owed to suppliers for goods and services purchased

_____ (3) Amounts owed to bank

_____ (4) Party to whom money is owed

B- Classify each of these items as an asset (A), liability (L), or equity (E).**(8 Marks)**

_____ 1. Accounts receivable

_____ 2. Accounts payable

_____ 3. Share capital-ordinary

_____ 4. Supplies

_____ 5. Utilities expense

_____ 6. Cash

_____ 7. Note payable

_____ 8. Equipment

AOU EGYPT

CamScanner

Question 4 (25 Marks)

Calculate the cost of closing inventory and cost of goods sold from the following figures using: AVCO method.

2022	Purchases	2022	Sales (At Selling Price)
April	30 at $15 each	July	38 at $31 each
June	18 at $17 each	December	25 at $33 each
November	34 at $19 each		

AOU EGYPT

CamScanner